EXHIBIT 1

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF NET POSITION
SEPTEMBER 30, 2023

	Primary Government			Discretely Presented Component Unit
	Governmental Activities	Business-type Activities	Total	
ASSETS				
Cash (Note 2)	$ 972,338	$ 3,410,636	$ 4,382,974	$ 15,210
Certificates of Deposit & Investments (Note 2)	2,992,215	5,260,499	8,252,714	-
Receivables, net	55,050	2,954,606	3,009,656	-
Inventories	10,758	1,772,135	1,782,893	-
Note receivable (Note 3)	306,606		306,606	-
Internal balances	(380,000)	380,000	-	-
Restricted Assets:				
Bond Reserve (Note 2)		5,923,110	5,923,110	
Depreciation fund (Note 2)		1,392,493	1,392,493	-
Customer deposits (Note 2)		374,342	374,342	-
Capital improvement fund (Note 2)		488,026	488,026	-
Capital assets: (Note 4)			-	
Land and Work in Progress	703,274	3,002,091	3,705,365	-
Building and improvements, net	2,334,058	3,295,375	5,629,433	-
Infrastructure, equipment and vehicles, net	7,139,355	30,362,216	37,501,571	-
Total capital assets	10,176,687	44,837,653	46,836,369	-
Total assets	$ 14,133,654	$ 58,615,529	$ 72,749,183	$ 15,210
LIABILITIES				
Accounts payable	$ 488,125	$ 268,984	$ 757,109	$ 1,277
Accrued interest	-	78,734	78,734	-
Salaries and benefits payable	222,570	219,484	442,054	-
Customer deposits	-	374,342	374,342	-
Deferred revenue	-	123,648	123,648	-
Noncurrent Liabilities: (Note 6)				
Due within one year	70,000	895,000	965,000	-
Due in more than one year	1,070,000	16,902,509	17,972,509	-
Total Liabilities	1,850,695	18,862,701	20,713,396	1,277
NET POSITION				
Net investment in				
Capital Asset	$ 9,036,687	$ 19,426,006	28,462,693	$ -
Restricted	-	8,306,343	8,306,343	-
Unrestricted	3,246,272	12,020,479	15,266,751	13,933
Total Net Position	$ 12,282,959	$ 39,752,828	$ 52,035,787	$ 13,933

The notes to financial statements are an integral part of this statement.

EXHIBIT 2

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED SEPTEMBER 30, 2023

Function/Programs	Expenses	Program Revenues: Fees, Fines, and Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net (Expense), Revenue, and Changes in Net Position: Primary Government: Governmental Activities	Primary Government: Business Type Activities	Primary Government: Total	Discretely Presented Component Unit
Primary Government:								
Governmental activities:								
General government	$ 1,121,232	$ 564,142	$ 22,973	$ -	$ (534,117)	$ -	$ (534,117)	$ -
Public safety	1,664,387	8,125			(1,656,262)	-	(1,656,262)	-
Street and alleys	1,035,605	-	-	-	(1,035,605)	-	(1,035,605)	-
Culture and recreation	1,023,982	60,662	-	-	(963,320)	-	(963,320)	-
Cemetery	144,912	12,900		-	(132,012)	-	(132,012)	-
Airport	509,705	2,040	-	-	(507,665)	-	(507,665)	-
HUD programs	310,906	-	-	-	(310,906)	-	(310,906)	-
Community development	900,901	-	-	432,723	(468,178)	-	(468,178)	-
Total governmental activities	6,711,630	647,869	22,973	432,723	(5,608,065)	-	(5,608,065)	-
Business-type activities:								
Electric	5,877,477	7,644,292	-	-	-	1,766,815	1,766,815	-
Water	1,432,822	1,486,839	-	-	-	54,017	54,017	-
Gas	3,499,004	4,243,608	-	-	-	744,604	744,604	-
Sewer	1,240,866	1,176,308	-	-	-	(64,558)	(64,558)	-
Total business-type activities	12,050,169	14,551,047	-	-	-	2,500,878	2,500,878	-
Total Primary Government	18,761,799	15,198,916	22,973	432,723	(5,608,065)	2,500,878	(3,107,187)	-
Component Unit								
Main Street	$ 59,150	$ 38,754	$ -	$ -	$ -	$ -	$ -	$ (20,396)
General Revenues:								
Property and city taxes, levied for general purposes					2,430,122		2,430,122	-
Grants/Intergovernmental not restricted to specific programs					1,925,458	-	1,925,458	-
Interest dividends and earnings on investments					51,083	82,594	133,677	-
Miscellaneous revenue (Expense)					99,619	1,619,561	1,719,180	-
Interest Expense					(16,102)	(197,626)	(213,728)	-
Total general revenues					4,490,180	1,504,529	5,994,709	-
Change in net position					(1,117,885)	4,005,407	2,887,522	(20,396)
Net position - Beginning					13,400,844	35,747,421	49,148,265	34,329
Net position - ending					$ 12,282,959	$ 39,752,828	$ 52,035,787	$ 13,933

The notes to financial statements are an integral part of this statement.

EXHIBIT 3

CITY OF FALLS CITY, NEBRASKA
BALANCE SHEET
GOVERNMENTAL FUNDS
30-Sep-23

	General Fund	Economic Development Fund	HUD Fund	Capital Improvement Fund	CDBG	Other Governmental Funds	Total Governmental Funds
ASSETS							
Cash (Note 2)	$ 1,205,247	$ -	$ -	$ -	-	$ -	$ 1,205,247
Certificates of Deposit & Investments (Note 2)	202,361	152,817	36,410	2,060,843	-	533,138	2,985,569
Notes receivable (Note 3)	-	-	6,606	300,000	-	-	306,606
Inventory	4,908	-	-	-	-	-	4,908
Total assets	1,412,516	152,817	43,016	2,360,843	-	533,138	4,502,330
LIABILITIES AND FUND BALANCES							
Liabilities:							
Accounts payable	484,087	-	4,038	-	-	-	488,125
Salaries and benefits payable	215,588	-	-	-	-	-	215,588
Total liabilities	699,675	-	4,038	-	-	-	703,713
Fund balances:							
Nonspendable	4,908	-	-	-	-	-	4,908
Restricted	-	-	-	-	-	360,302	360,302
Committed	-	-	6,606	300,000	-	172,836	479,442
Assigned	-	152,817	32,372	2,060,843	-	-	2,246,032
Unassigned	707,933	-	-	-	-	-	707,933
Total fund balances	712,841	152,817	38,978	2,360,843	-	533,138	3,798,617
Total liabilities and fund balances	$ 1,412,516	$ 152,817	$ 43,016	$ 2,360,843	-	$ 533,138	$ 4,502,330

The notes to financial statements are an integral part of this statement.

EXHIBIT 4

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES
IN FUND BALANCES – GOVERNMENTAL FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2023

	General Fund	Economic Development Fund	HUD Fund	Capital Improve-ment	CDBG	Other Governmental Funds	Total Governmental Funds
Revenues							
Taxes	$ 2,084,957	$ -	$ -	$ 1,461,310	-	$ -	$ 3,546,267
Intergovernmental/Grants	1,925,458	-	-	-	432,723	-	2,358,181
Licenses and permits	81,970	-	-	-	-	-	81,970
Rent/Leases	104,581	-	-	-	-	-	104,581
Charges for services	167,863	-	-	-	-	16,501	184,364
Fines and forfeits	2,265	-	-	-	-	-	2,265
Sale of supplies/property	193,436	-	-	-	-	-	193,436
Contributions	22,973	-	-	-	-	-	22,973
Miscellaneous	99,619	-	-	-	-	-	99,619
Total revenues	4,683,122	-	-	1,461,310	432,723	16,501	6,593,656
Expenditures							
Current:							
General government	870,295	-	-	-	66,149	8,553	944,997
Public safety	1,714,123	-	-	-	-	-	1,714,123
Streets and alleys	937,322	-	-	-	-	-	937,322
Cultural and recreation	913,261	-	-	-	-	-	913,261
Cemetery	120,051	-	-	-	-	23,307	143,358
Airport	263,917	-	-	-	-	-	263,917
HUD programs	-	-	310,906	-	-	-	310,906
Community development	405,963	-	-	97,111	47,657	-	550,731
Debt Service:							
Principal	-	-	-	-	-	-	-
Interest	-	-	-	16,102	-	-	16,102
Capital outlay	321,776	-	-	1,029,151	-	-	1,350,927
Total expenditures	5,546,708	-	310,906	1,142,364	113,806	31,860	7,145,644
Excess of revenues over (under) expenditures	(863,586)	-	(310,906)	318,946	318,917	(15,359)	(551,988)
Other Financing Sources							
Interest/Dividends	29,861	1,225	933	16,972	-	2,092	51,083
Transfer in	-	-	318,917	-	-	-	318,917
Transfer out	-	-	-	-	(318,917)	-	(318,917)
Total Other Financing Sources	29,861	1,225	319,850	16,972	-	2,092	51,083
Net change in fund balance	(833,725)	1,225	8,944	335,918	-	(13,267)	(500,905)
Fund balances - beginning	1,546,566	151,592	30,034	2,024,925	-	546,405	4,299,522
Fund balances - ending	$ 712,841	$ 152,817	$ 38,978	$ 2,360,843	-	$ 533,138	$ 3,798,617

The notes to financial statements are an integral part of this statement.

EXHIBIT 5

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
30-Sep-23

	Business Type Activities - Enterprise Funds					Governmental Activities-Internal Service Fund
	Electric Fund	Water Fund	Gas Fund	Sewer Fund	Totals	
ASSETS						
Current Assets:						
Cash (Note 2)	$ 2,039,013	$ (286,031)	$ 1,479,956	$ 177,698	$ 3,410,636	(232,909)
Investments (Note 2)	2,092,238	72,792	2,616,908	478,561	5,260,499	6,646
Receivables, net	994,044	1,680,233	136,019	144,310	2,954,606	18,905
Inventory	1,502,724	128,372	141,039	-	1,772,135	5,850
Interfund receivable (Note 5)	380,000	-	-	-	380,000	-
Total Current Assets	7,008,019	1,595,366	4,373,922	800,569	13,777,876	(201,508)
Noncurrent Assets:						
Restricted Assets						
Bond Reserve (Note 2)	5,923,110	-	-	-	5,923,110	-
Depreciation fund (Note 2)	54,085	-	1,159,571	178,837	1,392,493	-
Capital improvement fund (Note 2)	137,503	-	28,108	322,415	488,026	-
Customer deposits (Note 2)	123,017	73,159	178,166	-	374,342	-
Capital assets: (Note 4)						
Land & Work In Progress	2,055,005	553,748	297,854	95,484	3,002,091	-
Building and improvement, net	109,268	3,052,012	-	134,095	3,295,375	-
Infrastructure, equipment and vehicles, net	18,329,433	7,257,487	1,421,029	3,354,267	30,362,216	616
Total Noncurrent Assets	26,731,421	10,936,406	3,084,728	4,085,098	44,837,653	616
Total Assets	$ 33,739,440	$ 12,531,772	$ 7,458,650	$ 4,885,667	$ 58,615,529	$ (200,892)
LIABILITIES						
Current Liabilities:						
Accounts Payable	$ 54,212	$ -	$ 43,974	$ 170,798	$ 268,984	$ -
Accrued Interest	61,631	16,748	-	355	78,734	-
Salaries and benefits payable	78,572	44,966	64,574	31,372	219,484	6,982
Deferred revenue	166,361	(16,202)	(11,346)	(15,165)	123,648	-
Interfund payables (Note 5)	-	-	-	-	-	380,000
Customer deposits	123,017	73,159	178,166	-	374,342	-
Current portion of long-term debt	575,000	200,000	-	120,000	895,000	-
Total Current Liabilities	1,058,793	318,671	275,368	307,360	1,960,192	386,982
Long-term debt, net of current portion (Note 6)	12,195,000	4,011,115	-	696,394	16,902,509	-
Total Liabilities	13,253,793	4,329,786	275,368	1,003,754	18,862,701	386,982
NET POSITION (deficit)						
Net Investment in capital assets	7,723,706	7,215,965	1,718,883	2,767,452	19,426,006	-
Restricted	6,237,715	201,531	1,365,845	501,252	8,306,343	-
Unrestricted	6,524,226	784,490	4,098,554	613,209	12,020,479	-
Total net position	$ 20,485,647	$ 8,201,986	$ 7,183,282	$ 3,881,913	$ 39,752,828	$ (587,874)

The notes to financial statements are an integral part of this statement.

EXHIBIT 6

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF REVENUES, EXPENSES,
AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2023

	Business Type Activities - Enterprise Funds					Governmental Activities-Internal Service Fund
	Electric Fund	Water Fund	Gas Fund	Sewer Fund	Totals	
Operating Revenues:						
Charge for services / Sales	$ 7,644,292	$ 1,486,839	$ 4,243,608	$ 1,176,308	$ 14,551,047	$ 27,295
Total Operating Revenues	7,644,292	1,486,839	4,243,608	1,176,308	14,551,047	27,295
Operating Expenses:						
General and administrative	1,213,671	332,779	1,070,095	1,019,067	3,635,612	66,987
Distribution	322,350	152,635	605,177	-	1,080,162	45,503
Depreciation	790,357	401,974	118,841	221,799	1,532,971	235
Production	3,551,099	545,434	1,704,891	-	5,801,424	-
Total Operating Expenses	5,877,477	1,432,822	3,499,004	1,240,866	12,050,169	112,725
Income (Loss) from Operations	1,766,815	54,017	744,604	(64,558)	2,500,878	(85,430)
Nonoperating Revenues (Expenses):						
Interest revenue	74,190	559	5,314	2,531	82,594	-
Interest expense	(138,334)	(56,075)	-	(3,217)	(197,626)	-
Miscellaneous / Merchandise Sales	1,730,747	188,599	6,672	(306,457)	1,619,561	150,816
Total Nonoperating Revenues (Expenses)	1,666,603	133,083	11,986	(307,143)	1,504,529	150,816
Change in net position	3,433,418	187,100	756,590	(371,701)	4,005,407	65,386
Total net position (deficit) - beginning	17,052,229	8,014,886	6,426,692	4,253,614	35,747,421	(653,260)
Total net position (deficit) - ending	$ 20,485,647	$ 8,201,986	$ 7,183,282	$ 3,881,913	$ 39,752,828	$ (587,874)

The notes to financial statements are an integral part of this statement

EXHIBIT 7

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2023

	Business Type Activities - Enterprise Funds					Governmental Activities-Internal Service Fund
	Electric Fund	Water Fund	Gas Fund	Sewer Fund	Total	
CASH FLOWS FROM OPERATING ACTIVITIES:						
Cash received from customers	$ 7,469,876	$ 1,486,839	$ 4,230,923	$ 1,168,546	$ 14,356,184	$ 26,203
Cash payments for operating costs	(4,897,533)	(1,482,404)	(2,724,930)	(758,812)	$ (9,863,679)	(47,006)
Cash payments to employees	(946,333)	(420,776)	(646,821)	(279,283)	$ (2,293,213)	(65,484)
Net Cash Provided (Used) by Operating Activities	1,626,010	(416,341)	859,172	130,451	2,199,292	(86,287)
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:						
Proceeds/(Payments) from/to loans	6,200,000	(200,000)	-	(120,000)	5,880,000	-
Purchases and construction of capital assets	(1,919,638)	(1,306,366)	(298,314)	(381,144)	(3,905,462)	-
Interest and principal paid on capital debt	(138,334)	(56,075)	-	-	(194,409)	-
Net Cash Provided (Used) by Capital and Related Financing Activities	4,142,028	(1,562,441)	(298,314)	(501,144)	1,780,129	-
CASH FLOWS FROM INVESTING ACTIVITIES:						
Purchase of investments	(5,204,865)	-	-		(5,204,865)	-
Sale of investments	-	-	63,654	137,875	201,529	-
Interest and dividends / Grants	74,190	479,088	-	2,531	555,809	-
Net Cash Provided (Used) by Investing Activities	(5,130,675)	479,088	63,654	140,406	(4,447,527)	-
CASH FLOWS FROM NON -CAPITAL FINANCING ACTIVITIES:						
Cash received from operating and equity transfers	-	-	-	-	-	150,816
Net Increase (Decrease) in Cash	637,363	(1,499,694)	624,512	(230,287)	(468,106)	64,529
Cash at beginning of the year	1,401,650	1,785,725	855,444	407,985	2,872,804	(297,438)
Cash at end of the year	2,039,013	(286,031)	1,479,956	177,698	3,410,636	(232,909)
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:						
Net operating income (loss)	1,766,815	54,017	744,604	(64,558)	2,500,878	(85,430)
Adjustments to reconcile operating income to net cash provided (used) by operating activities:						
Depreciation expense	790,357	401,974	118,841	221,799	1,532,971	235
(Increase) decrease in receivables	(174,416)	(807,173)	(12,685)	(7,762)	(1,002,036)	(1,092)
(Increase) decrease in inventory	(817,554)	(26,885)	(33,232)	-	(877,671)	-
Increase (decrease) accrued expense & other liabilities	37,317	(38,274)	41,644	(11,043)	29,644	-
Increase (decrease) in accounts payable	23,491	-	-	(7,985)	15,506	-
Net adjustments	(140,805)	(470,358)	114,568	195,009	(301,586)	(857)
Net cash provided (used) by operating activities	$ 1,626,010	$ (416,341)	$ 859,172	$ 130,451	$ 2,199,292	$ (86,287)

The notes to financial statements are an integral part of this statement.

CITY OF FALLS CITY, NEBRASKA
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCES - BUDGET AND ACTUAL - BUDGETARY BASIS
GENERAL FUND
FOR THE YEAR ENDED SEPTEMBER 30, 2023

	Budgeted Amounts		Actual Amounts	Budget to GAAP Differences	Actual Amounts
	Original	Final	Budgetary Basis	Over (Under)	GAAP Basis
Revenues:					
Property and city taxes	$ 2,849,838	$ 2,849,838	$ 3,546,267	$ (1,034,892)	$ 2,511,375
Fines and forfeits	3,695	3,695	2,265	-	2,265
Licenses, fees, and permits	76,250	76,250	81,970	-	81,970
Intergovernmental	2,173,867	2,173,867	2,358,181	-	2,358,181
Charges for services	134,800	134,800	184,364	-	184,364
Sale of property/supply	500	500	193,436	-	193,436
Interest/Dividends	2,930	2,930	51,083	-	51,083
Rent	122,741	122,741	104,581	-	104,581
Contributions	7,550	7,550	22,973	-	22,973
Miscellaneous	12,300	12,300	99,619	-	99,619
Total Revenues	5,384,471	5,384,471	6,644,739	(1,034,892)	5,609,847
Expenditures:					
General government	1,126,562	1,126,562	1,000,148	121,084	1,121,232
Public safety	2,068,436	2,068,436	1,851,556	(187,169)	1,664,387
Street and alley	977,461	977,461	937,322	98,283	1,035,605
Airport	405,225	405,225	279,310	230,395	509,705
Cemetery	118,623	118,623	143,358	1,554	144,912
Culture and recreation	911,228	911,228	1,027,059	(3,077)	1,023,982
Community development	1,634,000	1,634,000	1,906,891	(678,982)	1,227,909
Total Expenditures	7,241,535	7,241,535	7,145,644	(417,912)	6,727,732
Excess (deficiency) of revenues over expenditures	(1,857,064)	(1,857,064)	(500,905)	(616,980)	(1,117,885)
Other Financing Sources (Uses):					
Transfers in	-	-	318,917	-	318,917
Transfers out	-	-	(318,917)	-	(318,917)
Total other financing sources and uses	-	-	-	-	-
Net change in fund balance	(1,857,064)	-	(500,905)	(616,980)	(1,117,885)
Fund balances - beginning	-	-	4,299,522	(135,144)	4,164,378
Fund balances - ending	$ (1,857,064)	$ -	$ 3,798,617	$ (752,124)	$ 3,046,493

Explanation of differences: (1) The City budgets for claims and compensated absences only to the extent expected to be paid, rather than on the modified accrual basis. (2) The amount reported as "fund balance" on the budgetary basis of accounting derives from the basis of accounting used in preparing the City's budget. (See Note 1 for a description of the City's budgetary accounting method.) This amount differs from the fund balance reported in the statement of revenues, expenditures, and changes in fund balances because of the cumulative effect of transactions such as those described above.

CITY OF FALLS CITY, NEBRASKA
COMBINING STATEMENT OF REVENUES, EXPENDITURES AND CHANGES
IN FUND BALANCES – NON-MAJOR GOVERNMENTAL FUNDS
30-Sep-23

	Steele Trust Cemetery	Library Project	Unemployment	Total 2023
Revenues:				
Intergovernmental/Grants	-	-	-	-
Local	9,250	7,251	-	16,501
Total Revenues	9,250	7,251	-	16,501
Total Expenditures	23,307	-	8,553	31,860
Excess (deficiency) of revenues over expenditures	(14,057)	7,251	(8,553)	(15,359)
Other Financing Sources				
Interest Income	1,522	143	427	2,092
Net change in fund balance	(12,535)	7,394	(8,126)	(13,267)
Fund balance at beginning of year	372,837	44,733	128,835	546,405
Fund balance at end of year	$ 360,302	$ 52,127	$ 120,709	$ 533,138